

reserved matters, governance is becoming stronger, and marketing spends are coming down.

There are more nuances. “Resetting is not just about price discovery and valuation. We are also seeing structures where both sides (founders and investors) are beginning to take chances on future growth. On deals that require large founder dilutions, both the parties are looking at innovative models to see if there can be some sort of clawback provision or milestone-based incentive to increase founder shareholding within a pre-determined point of time. Of course, these are structured within the parameters of the law to ensure that if the company does better than expected, all the stakeholders in the company are rewarded,” says Nagaraj.

QED Investors’ Patil says start-ups with a long-term vision should not worry about diluting more in a cycle like this. “As long as you are building towards a long-term vision, it is fine if you have to compromise a little bit on ownership today because in tomorrow’s round, you will be able to claim that ownership back. Do it because the end state is still worth it. The terms may not be exactly as delightful as you wanted them in 2021, but terms are exactly that, they are terms till the next round happens and then they get changed. It is a transient matter. If the goal is worthwhile, terms are just a temporary effect.”

There is now a greater degree of emphasis on governance. Cap table structures, terms of ESOPs, and terms of management and employee incentives are important discussion points that are finding their way into the documentation process. The time taken to close a transaction has significantly increased. “Governance standards are being very, very clearly articulated upfront... global governance standards are beginning to find their way into early-stage companies,” says Nagaraj.

Investors are also looking at cost structures of start-ups, ensuring that luxury expenses are cut down before making a financial commitment. An increased degree of realism is expected in business models. “We do see more realism on the terms of deals, capital being raised and also a greater focus on unit economics compared to 2021. We feel this phase may lead to much healthier businesses getting built, thus being a net positive for the ecosystem,” says Mayank Khanduja, Partner, Elevation Capital.

Verma says Nexus advises its portfolio companies to focus on getting to positive unit economics, be capital efficient, and try to have enough runway for 30 months. “If there is an opportunity to raise money, do it at fair valuations. Don’t worry too much, just be very realistic and look around opportunistically for smaller companies to buy, which can be strong additional teams,” he says.



“There may be a slowdown for one or two quarters as many companies have already raised capital, but things will change soon”

VARUN GUPTA
EXECUTIVE DIRECTOR, DIGITAL & TECHNOLOGY INVESTMENT BANKING, AVENDUS CAPITAL



“Resetting is not just about price discovery and valuation. We’re also seeing structures where founders and investors are taking chances on future growth”

MANAV NAGARAJ
PARTNER, GENERAL CORPORATE, SHARDUL AMARCHAND MANGALDAS & CO.



“For VCs, this situation is better because I don’t have to negotiate so hard, [and] the starting points are automatically more sensible”

SANDEEP PATIL
PARTNER AND HEAD OF ASIA, QED INVESTORS



“If you are losing money and need capital, the power dynamics will be in favour of the venture funds. They will put in structured clauses; there might be all kinds of acrobatics in term sheets”

SAMEER BRIJ VERMA
MD, NEXUS VENTURE PARTNERS



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MAYANK KHANDUJA
PARTNER, ELEVATION CAPITAL